EQUITY RESEARCH

Philippines · Utilities
2024-11-14

Manila Water Company, Inc.

PSE: MWC · Bloomberg: MWC PM · Regulated water utility

BUY Target ₱27.35 (+22%)

Investment thesis

- **Robust earnings momentum —** 9M-2024 net income attributable to parent rose to ₱10.10bn from ₱7.26bn, supported by a 20% average tariff increase and 2% billed volume growth at the Parent Company.
- **Diversified revenue base —** Non-East Zone revenues grew 23% on 6% billed volume growth and 20% tariff increases across several business units, complementing the core Metro Manila East Zone concession and overseas subsidiaries.
- **Attractive valuation —** Our DCF (WACC 8.4%, terminal growth 2.5%) yields a fair value of ₱27.35 versus a current price of ₱22.36, implying roughly 22% upside.
- **Visible tariff pathway —** Scheduled tariff adjustments from 2023 to 2027, an indicative 2028 adjustment for the Wawa Bulk Water Supply Project, and a rising environmental charge underpin medium-term revenue visibility.
- **Ownership transition —** In 2024 the Ayala group sold its entire stake to Enrique Razon's Trident Water, which now holds majority control; Ayala is no longer a related party.
- **Concession extension catalyst —** The application to extend the Revised Concession Agreement term to 2047, aligning with the Franchise term, would lengthen the asset's contracted life and support long-term cash flow visibility.

Company data

Price (₱): **22.36**
Fair value (₱): **27.35**
Upside: **+22%**
Market cap (₱bn): **58.1**
52-wk range (₱): **16.5–27.0**
Shares (m): **2,597**
Beta: **0.46**
WACC: **8.4%**

Major shareholders

Trident Water (E. Razon): **56.9%**
Public float: **~43%**
Ayala group: **preferred only**

₱m unless stated	2024E	2025E	2026E	2027E
Revenue	36,729	40,402	43,635	46,689
Net income (parent)	10,608	11,668	12,602	13,484
EPS (₱)	3.47	3.88	4.24	4.58
EPS growth	—	+12%	+9%	+8%

Key highlights

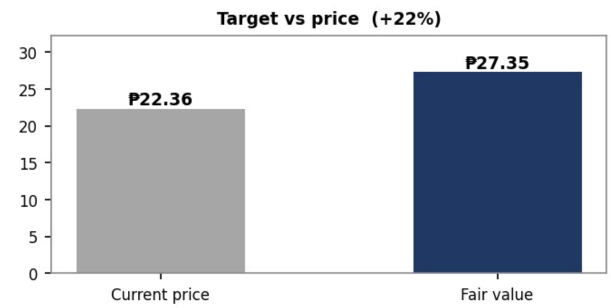
Interim results (₱m)

	Q3'24	Q3'23	9M'24	9M'23
Revenue	9,193	7,753	27,547	23,144
Gross profit	6,412	5,119	19,097	15,487
Operating income	4,982	3,851	15,065	11,553
Pre-tax income	4,356	3,123	13,708	9,703
Net income	3,329	2,305	10,489	7,524
of which: to parent	3,188	2,214	10,103	7,262
EPS (₱)	1.08	0.67	3.43	2.21

Valuation summary (DCF)

	₱m / x
Enterprise value	167,909
Less: net debt	(94,514)
Less: NCI	(1,973)
Less: preferred	(400)
Equity value	71,021
Fair value / share (₱)	₱27.35
WACC	8.4%
Terminal growth	2.5%
Beta	0.46

Coverage initiation — no prior estimates shown for a previous-vs-current comparison.



Earnings recap

For 9M-2024, Manila Water reported revenue of ₱27.5bn, up from ₱23.1bn, while net income attributable to parent rose to ₱10.10bn from ₱7.26bn, yielding 9M EPS of ₱3.43. Q3-2024 net income to parent reached ₱3.19bn versus ₱2.21bn. Growth was driven by a 20% Parent Company tariff increase, 2% billed volume growth, and a 23% rise in Non-East Zone revenues, partly offset by higher personnel, premises, and other operating costs.

Sector context

Philippine water utilities operate under long-term concession and franchise frameworks with periodic regulator-approved tariff adjustments, providing relatively stable, inflation-linked cash flows. Sector returns hinge on capital-intensive investment in supply security, sewerage expansion, and service coverage. Operators face exposure to weather variability, including El Niño-driven supply risk, and to evolving regulatory and environmental compliance obligations across both metropolitan and provincial service areas.

Outlook

We expect continued earnings growth, underpinned by scheduled tariff adjustments through 2027 and an indicative January 2028 adjustment for the Wawa Bulk Water Supply Project. The environmental charge rises from 25% to 30% from January 2026, with a sewer charge increase contingent on attaining 30% sewer coverage by end-2025. Capital expenditures will be financed by internally generated funds and debt. The proposed concession extension to 2047 represents a key structural catalyst.

Recent developments (live, as of 2026-06-09)

- Manila Water reported a net income of "15.8 billion in 2025, marking a 51% increase (GMA Network).
- The company has bolstered alternative supply sources in anticipation of a severe El Ni

  o (Manila Standard).
- The 60-Million-Liters-Per-Day Aglipay Sewage Treatment Plant was inaugurated by President Ferdinand R. Marcos Jr. (pbbm.com.ph).
- Manila Water has switched to 100% renewable energy for its retail supply (Inquirer.net).
- The PPP Center conducted a knowledge session for Manila Water on the new PPP Code and its Implementing Rules and Regulations (PPP Center of the Philippines).

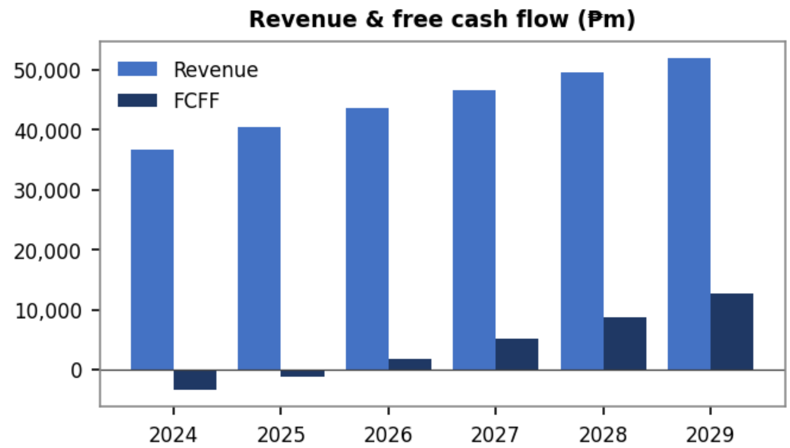
Key risks

- **Regulatory risk —** Tariff adjustments and the proposed concession extension to 2047 remain subject to regulatory approval, creating uncertainty over timing and quantum.
- **Supply and weather risk —** Severe El Niño conditions could strain raw water availability despite efforts to bolster alternative supply sources.
- **Cost inflation —** Rising personnel, premises, regulatory, and management fee costs could compress margins if not offset by tariff and volume growth.
- **Ownership transition risk —** The change in majority control to Trident Water introduces uncertainty around strategy, governance, and capital allocation.

Financial highlights

₱m	2024E	2025E	2026E	2027E
Revenue	36,729	40,402	43,635	46,689
EBIT	20,087	22,095	23,863	25,533
NOPAT	15,065	16,571	17,897	19,150
D&A	4,977	5,475	5,913	6,327
CapEx	23,511	23,114	21,995	20,358
Free cash flow	(3,469)	(1,104)	1,783	5,088
Net income (parent)	10,608	11,668	12,602	13,484
EPS (₱)	3.47	3.88	4.24	4.58

2024E is FY2024 estimated from 9M-2024 actuals (annualized); 2025E–2027F are model forecasts off configurable assumptions. Figures are illustrative.



Rating definitions & disclaimer

Ratings (12-month total return): BUY > 10% · HOLD 0–10% · UNDERPERFORM < 0%.